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HEALTHCARE CHINA

China's spectacular rise reshapes Asia's pharma future

The balance of power in the global pharmaceutical industry is shifting east, driven by China's rapid rise as an innovation powerhouse. This means that Asia's influence is growing amid geopolitical tensions and new policy initiatives. Diederik Stadij looks into his crystal ball and assesses what the continent's pharma future may hold



From supplier to shaper: Asia peers into a future where science and geopolitics will define the next wave of pharma innovation

China's emergence as a major source of innovation in global pharmaceuticals is reshaping Asia's role in the industry, and challenging the dominance of traditional Western hubs. The region is now driving a growing share of new drug pipelines, with China at the forefront and South Korea developing into a credible second innovation engine.

This is forcing global pharma companies to rethink where they access new drugs, as

more innovation comes from markets that are harder to navigate due to regulatory complexity and geopolitical risks. India remains dominant in generics, while Japan risks losing ground without further reform.

The centre of gravity in pharma is shifting east, but the transition will be uneven and increasingly shaped by politics and policy as much as science.

Past: Asia has always been a manufacturing powerhouse

Historically, Asian pharma was built around cost, scale and process efficiency rather than breakthrough innovation. India became central to generics, active pharmaceutical ingredients (APIs) and vaccines, while China became a major supplier of chemical intermediates, APIs and increasingly finished drugs.

Japan, meanwhile, was the region's early innovative pharma market, but largely domestically orientated and shaped by its own pricing and reimbursement system. South Korea, Singapore and Taiwan were smaller, but science-heavy ecosystems that gradually moved into biologics, medtech and clinical research. The past few decades made Asia indispensable to global pharma supply chains, but not dominant in originator innovation.

Present: the continent is increasingly an innovation engine

The big shift is that Asia is now gaining share in innovative pipelines, biotech patents, clinical assets and licensing deals. This is primarily driven by China's spectacular ascent. We estimate that 33% of all new innovative molecules in global pipelines are Chinese this year, up from 4% in 2014. We also estimate that the continent's share of innovative pipelines as a whole is roughly 48% this year. This makes Asia responsible for roughly 90% of global growth in innovative molecules.

Aside from Asia's spectacular innovative ascent, the continent boasts strong demand, underpinned by ageing populations, increased chronic disease, expanding insurance coverage, rising middle classes and greater healthcare access. [We expect](#) global pharmaceutical sales to reach \$2.4tr by 2030, with most growth coming from APAC. By 2027, we expect the region to become the second most important market after North America, slightly ahead of Europe.

Future: the most important innovator?

This raises the question of whether Asia will become the world's dominant pharmaceutical innovator over time. The answer will depend on how developments unfold across the region's

key markets – [China](#), [South Korea](#), [India](#) and [Japan](#) – each following a distinct path with its own opportunities and constraints.

A consistent theme is that Asia's role is expanding from supplying the world to shaping what the world takes. But the road will not be linear. It will depend on how quickly local ecosystems can convert scientific momentum into globally competitive products, how supply chains are reconfigured under tariff and security pressure, and how regulation, capital markets and cross-border partnerships evolve in a more fragmented world.

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